Executives
Alejandra Vazquez -
Daniel Javier Servitje Montull - Chairman, CEO & Member of Advisory Board
Diego Gaxiola Cuevas - Group Chief Financial Officer
Rafael Pamias Romero - Executive Vice President

Analysts
Alejandro Fuchs - Research Analyst
Antonio Hernández Vélez Leija - Research Analyst
Bernardo Malpica -
Sam Epee-Bounya - MD & VP
Unknown Analyst -

Presentation

Operator
Good afternoon, everyone. My name is Daniela, and I will be your event coordinator today. [Operator Instructions] Welcome to Grupo Bimbo Sustainability Day. [Operator Instructions] I have the pleasure of introducing you today To Grupo Bimbo's Chairman and CEO, Mr. Daniel Servitje; as well as Grupo Bimbo's Executive VP and Chief Sustainability Officer; Mr. Rafael Pamias.

Please note that this event is for investors and analysts only, and questions from the media will not be taken.

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We will now begin with an introductory video about Grupo Bimbo sustainability strategy.

[Presentation]

Operator
I will now turn the call over to Mr. Daniel Servitje. Sir, please go ahead.

Daniel Javier Servitje Montull
Hello, everyone. Thank you for joining us for this event today. Sustainability has always been part of our DNA. Since our beginning, our founder's vision was to build a sustainable, highly productive and neatly humane company. This is ingrained in our culture and in every business decision we have made ever since as it has become our corporate philosophy. It is also why I am so proud to share with you today our new sustainability strategy, which, as you will see, positions our company to do more for people and the planet by setting transparent, far-reaching, ambitious goals. With it, we are better aligning our philosophy

and purpose with our execution and defining the role to achieve tangible results consistent with the United States and United Nation's sustainable development goals.

This strategy is a result of constantly looking for ways to expand it from tiers of how business can be done and how the interaction with our stakeholders can improve to nourish the wellness of people and the planet. We know this won't be a simple journey, but we have a plan to get there. We are bakers in the grain-based food industry with a very close relationship with our consumers and want to be in their homes, on their tables every day. We know that by providing high-quality products with high nutritional value, we can improve the lives of everyone we reach and that our sustainability strategies are meaningful for all stakeholders, our associates, our investors and the communities we serve.

Over the last decades, our sustainability strategy encompassed many different areas like health and well-being, the planet, our relationship with the communities around us and what we do for our associates. Over the years, we have made great strides, including in the '60s, we started our social programs and promoted healthy lifestyles with Futbolito Bimbo.

In 1991, we developed our first environmental policy. Our nutritional guidance began to be measured in 2008. And by 2009, we signed the IFBA global responsible marketing to children policy. Later, in 2010, we signed the Mexican marketing to children pledge. In 2009, we launched our first biodegradable packaging. We continued our research and innovation efforts. And in 2019, developed our first compostable packaging for our Vital brand.

In 2012, we launched our first renewable energy effort with the Piedra Larga wind farm in Mexico. That same year, we launched the Good Neighbor program to improve the lives of the communities that surround us. In 2013, we became the first company in Mexico to build an electric vehicle through our subsidiary, Moldex. Since 2017, we have been recognized as one of the world's most ethical companies by the Ethisphere Institute. In 2018, we were the first company in Mexico to receive clean energy certificates. And that same year, we signed RE100, committing to use 100% renewable energy by 2025. In 2021, we signed the commitment to reach net zero carbon emissions. And by 2050, I'm glad that we're finishing with the dates under the science-based targets framework and issued our first sustainability linked loan.

However, we know that as the world evolves, so the needs of our stakeholders and the positive impact we can have on them. Because of this, we decided to undertake a more ambitious strategy with a goal of having a business model that is completely sustainable by design. This new sustainability strategy builds on what we have been doing and enable us to be more focused and make a bigger contribution to the United States' and United Nations' sustainable development goals.

We are in a decade of action, and this means we need to increase our speed to reach our sustainability goals. In many areas, such as climate change and water management, the world does not act more boldly, it may be too late. We want to be a part of this acceleration, and that is how I can sum up everything that nourishing a better world is. It means nourishing the well-being of people and nature at the same time because we can only make things better if we do both. It is about the planet and about the people that lived on it.

Rafa will now explain in more detail how we define this new strategy and what we plan to achieve. I just want to say that it will be a long journey, and it will come with its challenges, but we are excited and ready

to contribute towards building a better future. Everyone that interacts with us, including our customers and suppliers will play a part in this. Together, we will be able to nourish a better world. Rafa, please go ahead.

Rafael Pamias Romero
Thank you, Daniel. And thank you, everyone, for being here. As Daniel said, sustainability is part of our DNA. And we have actually sometimes lead the way with our recipes for a better health, a better environment and more fairness. However, at Grupo Bimbo, we feel that we can do more as we have accelerated -- that we have to accelerate the base as challenges are mounting up.

If you take a look at the next slide, if you can go to the next slide, you will see our planetary challenges of our era, both environmental and social. You will see climate change, malnutrition, natural resources trench. And on the social challenges, more and more inclusion needed on a more diverse and more diverse world and poverty and acceptable poverty. Therefore, we could say that we're quickly transitioning from a situation of crisis to an emergency situation.

And this is why, if you go to the next slide, please, this is why we have revisited our strategy with some clear directions. We have to move from mitigation to full regeneration. This means as a first step that we have to go from minimizing the impact of our operations to become soon sustainable by design. This is a bold move and a whole new level of ambition because it will require some times to develop new business models, number one. Number two, this means sharing and committing publicly, hoping that others will follow. And last but not least, with clear governance and quantitative objectives to be able to track and share progress.

So moving on to our new strategy, if you can go to the next slide, please. Yes, thank you. We're working on -- we have been working with external and internal stakeholders on 8 principles with the purpose to deliver real material impact, new solutions to the table, being true to our culture. These 8 principles can be grouped in 3 buckets. Basically, 1 bucket is about better recipes and diets. The second bucket is about reducing to zero negative impact in nature. And the third bucket deals with making sure progress delivered by our operations, delivered by human kind brings more prosperity to more people.

So we do believe that we face brutal truths today. I said that we're transitioning from crisis to emergency. If you go to the next slide, please, you will see the brutal truths that we're facing as companies and also the beautiful possibilities if we go on the right way, beautiful possibilities that we think that bring also business opportunities. I'm not going to elaborate on the 5 brutal truths, but I will talk about the beautiful possibility to have 100% of our products, nutri and rich, to embrace a fertile farming with our purchasing power to be sure that we're seeking renewable sources when searching for energy.

So in any case, I think that now we are ready to introduce the new sustainability strategy. So please go to video.

[Presentation]

Rafael Pamias Romero
So this is our new sustainability strategy for nourishing a better world with recipes baked for you, baked for lives and baked for nature. So if we talk about baked for you and you can move please to the next 2 slides. The next one, please. The next one, please. Yes. Thank you very much.

So it is about, baked for you, it is about promoting planetary diets with nutritional diversity. If we have to sum up this pillar in one single number, it is about 100%. Because by 2030, 100% of our recipes will be natural and simple. By 2030, in 100% of our organizations, 100% of our portfolios, we will be able to deliver a substantial offer of healthy plant-based products. And before 2030, 100% of our labels will provide information enough to empower our consumers to make better choices.

Up to date, our progress is quite promising. I would say that 96% of our daily consumption portfolio, we say daily consumption to those products that we are aiming and we are promoting for very frequent or daily consumption. So 90% of our portfolio complies with internal and external consensus on maximum levels for nutrients to be limited. For example, for those who come -- who live in Latin America, you will see that there are certain geographies that have very restrictive form label legislation or there are some new countries that are going to come to have the same kind of labeling. I'm talking about Chile, Brazil, Argentina, Mexico, Uruguay and Paraguay. Well, 100% of our bread portfolio has no stamps in such a restrictive legislation. So we are advancing in there.

If we go to the next 2 slides on baked for nature, the next one, please. If we said that the first pillar was about 100%, this pillar, which is about protecting and regenerating our natural system, it is about 0. Because by 2050, we are committed to become a net zero carbon emissions company with a specific and public targets for 2030 and 2040. This also means 0% of our key ingredients by 2050 will come from nonsustainable agricultural practices, therefore, full conversion in 2050 to regenerative agriculture. And last but not least, 0 is the waste that we're planning to have on our packaging, water and food in 2050. And the progress is also promising by 2022 by the end of this year, 85% of the energy is coming from renewable sources. 90% of our packaging is recyclable, and 90% of our waste is recyclable, too. By 2025, 100% of our energy will come from renewable energies, and 100% of our packaging will be fully recyclable.

If we go to the last pillar, which is baked for life, next page, please. Finally, baked for life is about to make sure progress turns into prosperity for all around us.

So to sum up very quickly, a new strategy with a whole new level of ambition. Three pillars interconnected, clear and public commitments. And finally, good promising progress and a lot to do. So back to you, Daniela.

Question and Answer

Operator
[Operator Instructions] Our first question comes from Antonio Hernandez.

Antonio Hernández Vélez Leija
This is Antonio Hernandez from Barclays. My question is regarding renewable energy. How different -- I mean your target is very clear. But how is the different current position across our operating geographies? I mean, I guess, of course, you have higher penetration of renewable energy in some places, maybe in Mexico compared to other countries. But can you give a little bit more light on that on where countries you are more advanced and which ones are lagging?

Daniel Javier Servitje Montull

Maybe Alejandra, who's the Global Deputy Director, can give you the flavor. Actually, it's quite equal in many geographies. But please, Alejandra, go ahead.

Alejandra Vazquez
Yes. Thank you very much. I'm Alejandra Vazquez . I'm the responsible of sustainability also all of these efforts. We have a lot of progress in different geographies, for example, [Technical Difficulty] have renewable. It's the same in Canada and U.S.A. We have different ways to obtain the renewable energy. We can do it by some kind of contract with wind farms, but also we are working on a lot in solar roof. In fact, we have right now 90 solar roof that -- with most of 90 solar roofs. Sorry, I'm a little bit nervous. But well, we have 90 solar roof, we also have different solar roof in different geographies in Argentina, in Latin America, Central America. So we are working in different ways to obtain our renewable energy with wind farm, with solar roof and also with different contracts for renewable energies, mainly in Europe. But at the end, we, as you already hear, at the end of the last year, we reached 85% of renewable energy, and we're looking to have the 100% in 2025 by these 3 main action lines.

Operator
Our next question comes from Bernardo Malpica.

Bernardo Malpica
My name is Bernardo Malpica from Compass Group. My question is just regarding, how will we be able to track the evolution of this objectives? I mean do you have a specific strategy, too? Can you give some report in the quarters in the annual report? Or how are we going to be able to identify the objective starting to fill?

Alejandra Vazquez
Yes. We are tracking our -- we defined different KPIs for each 1 of the 8 actual lines that Rafa described. These KPIs, we reported in the annual report. In fact, you can see already in our web page, in the annual report. And you can find that this annual report is also aligned with the GRI, but we also use a different way to report. It depends of the topic. For example, for cargo, water and forest, we also report in the CDP initiatives. So we defined a strategic KPI that has been reported in our annual report annually.

Operator
Our next question comes from Sam Epee-Bounya.

Sam Epee-Bounya
I don't know if you can hear me well. This is Sam Epee-Bounya from Wellington Management. Thank you for the comprehensive presentation on sustainability effort. I'm curious about the costs associated with such an endeavor. I mean have you sort of have an estimate of how much it will cost to reach your goals over the medium and long term, so specifically, the net zero one. Have you made some estimates?

Rafael Pamias Romero
Thank you. Okay. Go ahead, please, Daniel, sorry.

Daniel Javier Servitje Montull
Just I mean, we certainly -- I mean on the history of our renewable programs. We have done a lot of business models. And in all cases, basically, they render positive profitability. So I would say that our path on renewables, it's one that we've been documenting all along the way. And it's been in all cases, one

that either -- it's gone through third parties, and we get some benefits or that we invest and we invest within the boundaries of the rates that we want for the internal rate of return.

In the case of the net zero initiative, we don't have a clear measure of the undertaking. It's something that we believe that we have to get into that commitment and work towards that end. What I can tell you is that we are investing. I think it's around $2 million this year, and we will enlarge that amount. And maybe, Ale, you can give us the exact amount in the pilot test that we are doing in different countries with different organizations to enlist the support of farmers. But this is going to be a huge endeavor and one that we will be undertaking with the help of our suppliers, and their suppliers, and it's going to be a multiyear effort.

We hope that as many companies basically asked the same from their suppliers, it's going to be basically the requirement of the market, and it's going to be something that it's going to be basically the new way to do business. But I don't know, Ale, if you want to be more specific on the investments for this year.

Alejandra Vazquez
Yes. As Daniel said, we are working in a different action lines in terms of net zero. The first one, we are not going to need a lot of money because we're working in energy efficiency to improve the way we use the fuels in our operations and also in our vehicles.

The second one is, as you already hear, all about the renewable energy that I already have a number that we already have renewable energy in 20 countries where we operate. And also that, as Daniel said, most of these examples give us money or give us earnings in all of these efforts.

And the third one is that we're going to try to look at these different technologies. So now we are working in our CapEx to include a -- like mandatory best practices in all of the lines that we install. We differ best practices to reduce the use of energy in all the operations and also the vehicles.

And the other side of the way, we need to reduce [indiscernible] is going to be the regenerative agriculture. So we are going to invest $50 million in terms of regenerative agriculture to reach our first stage of our goals, 200,000 hectares to these practices of regenerative agriculture. These practices are important because most of the -- half of our carbon footprint comes from agricultural resources. So that's why we have a lot of efforts and challenge in terms of our regenerative agriculture program.

Rafael Pamias Romero
If I may, I would remind you that carbon zero, it is about energy, and energy we're seeing that some savings and earnings. It's also about waste, and waste is actually a reduction of waste or recyclability of that waste is actually bringing savings. Last but not least, 50% of our carbon footprint is on agriculture, and regenerative agriculture at one way or another will have to be done. But we are positively surprised by the outcomes of certain pilots that we have done directly or indirectly in Mexico, for example, where we see that regenerative practices bring more outcome, more yield per square meter. And that the carbon sequestration, which is very effective, is preventing climate change. And climate change is the #1 cost for crops and harvest to go wrong, and therefore, prices to go up. So we are very bully on regenerative agriculture. And as Daniel said, it is a job that has to be done together with our suppliers.

Alejandra Vazquez

And only at the end, only to complement, another part of our net zero effort is going to be in the mobility. So we are working a lot in electromobility or to reduce the use of fossil fuels in our transportation with non-carbon emission vehicles. So that's the other part of our strategy net zero. And you can see in science-based target, our goals for the '23 in terms of Scope 1, 2 and 3.

Operator
We have a question in the Q&A. It states we understand Scope 3 emissions are a big part of your footprint. How are you planning to reduce Scope 3 emissions?

Daniel Javier Servitje Montull
Alejandra?

Alejandra Vazquez
I believe we're explaining a little bit of this. Most of our scope 3 comes from our supply chain, and the other one is in the agricultural sources of raw materials. So in terms of raw materials, we are working to -- in this specific practices that is the regenerative agriculture strategy. And in the supply chain, we are working to form alliances with our supply chain to reduce the carbon footprint in with the different supply chain. It depends of the supplier. Well, we are working with them to reduce our gas footprint in the supply chain.

In the part of our clients, we also are working with different clients to reduce our carbon footprint and to map our footprint with them through to define a specific targets with them. So it depends on the size and the part of the scope and the source in our agriculture part.

Rafael Pamias Romero
Yes, I would add that regenerative agriculture aims to reduce the use of water, energy and fertilizers of any kind, thus reducing, if well done, reducing the cost for farmers. So on 1 side, you get more outcome per square meter. On the other side, with digitalization and breakthrough technologies, you can reduce or better aim the source of water, energy and fertilizers to make sure that you don't overinvest. This tends to be yielding better margins.

The big question is how to help farmers to do the step ahead, to do the transition from the old fashion way of doing things to the new way of doing things. But this is where we are also focusing on, awaring, making them aware of the new agricultural practices and help them transition so that they don't feel it is a risk to go for the new first crop of doing things.

Operator
Our next question comes from [Cristian Juarez].

Unknown Analyst
Regarding the carbon emissions that you talk about, today you are in [indiscernible] or deficit of carbon emissions. The question is because maybe in the Europe, you have a heavy growth, if you have a super habit, you need to buy carbon bonds to compensate emissions that you have in LatAm and North America. We don't have it yet, but I don't know if in the short term could be a risk.

Alejandra Vazquez

Well, we are not thinking to compensate. We are working a lot inside of the company to reduce our carbon footprint in the way that I already explained, in the sequestration, in the part of agricultural sources. The other one is reduce the use of fossil fuels and electromobility and all about new technologies in terms of change fossil-fuels for another fuel. So our strategy comes from more reduction, to move to zero, and we are not thinking to compensate our carbon footprint.

Unknown Analyst
Okay. But that is in the future? Both up during super rate or deficit of carbon emissions?

Alejandra Vazquez
Well, we have emissions of carbon that you can review in our annual report, and that meant versus our baseline are the ones that we are looking to reach or to get or to move to zero in 2050, but we have intermediate goals for 2030.

Operator
I would just like to hand the call back over to Alejandra, if you could state the investment amounts and time of the following years.

Alejandra Vazquez
Sorry, can you repeat it again please?

Operator
Yes. Thank you. If you could clarify on the investment, that is, I think, 15 in the next 5 years.

Alejandra Vazquez
Yes. It's $15 million in agricultural regenerative project to reach the goal in the 2030. That is going to be 200,000 hectares of regenerative agriculture. It's better in that way? It's clear?

Rafael Pamias Romero
If I can elaborate on this pilot, we are -- our main aim is to make sure that wheat bread is in our tables today, tomorrow and the day after tomorrow. This means that we are undertaking some kind of responsibility because it is linked to our baking mission, is to make sure that we are testing here and there ways to make sure that the yield of wheat increases and that farmers can have a better living. And that is why this pilot is starting in Mexico, Canada and United States. Those 3 countries are important for us for 2 reasons.

Number one, those 3 countries are very important from a P&L point of view, the way that those countries still carry on our P&L. On the other side, those 3 countries are key producing, key with producer countries. So that is the reason why we aim to develop this pilot test then to scale on these 3 countries first.

Operator
Our next question comes from Alejandro Fuchs.

Alejandro Fuchs
I am Alejandro Fuchs from Itau BBA. I have a quick question regarding key ingredients. You mentioned zero key ingredients coming from not sustainable agriculture. Just want to ask, by what year do you want

to reach this goal? And also how much of the key ingredients come today from sustainable agriculture? And how has this number evolve over the last couple of years? And lastly, maybe touch on a point that someone already made, and I know it's difficult to quantify today how this could impact the cost in the future. But assuming that this could potentially impact, what efficiency programs is the company working today, maybe to try to mitigate this in the future?

Rafael Pamias Romero
I would start by saying that this goal is in 2050, right? Then I pass it to Alejandra, and then I will come back to me. Okay, Alejandra, why don't you elaborate on what are those key ingredients that we're talking about?

Alejandra Vazquez
Most of -- the key ingredients that we are talking about is mostly wheat, corn and potato. So we are working because we are bread company mostly, so that's why wheat is a really important key ingredient for us. So we started in 2018, our program with the CIMMYT. CIMMYT is a International Center of Wheat and Corn, and we developed our framework to regenerative agriculture with them. We also are reporting with the ES that is airborne foundation to develop our framework in terms of regenerative agriculture. So in this last year from 2018 to the date, we reached almost 4,000 hectares of key ingredients, corn and wheat from regenerative agriculture.

So that's our first step to develop our framework. And with this framework, we are going to go to the goals for [Technical Difficulty].

Rafael Pamias Romero
And I would finish by saying that we have long-standing productivity and saving programs in place, and I would add that this pandemic has helped us to really take a look at our portfolio in a whole different way. SKU simplification, reducing complexities, bringing a lot of money to the table. Same thing with lean manufacturing techniques and why not with revenue growth management, which is turning us from doing pricing equals costing to pricing equals value. We have excellent deals in our portfolio that we are pricing at the right value, and we are compensating. So, so far, we feel comfortable that this should not erode our margins in 2050.

Operator
We have time for one more question today for the whole team, and it states, how are you thinking about the issuance of green bonds that are tied to specific green projects versus issuing sustainability-linked bonds?

Diego Gaxiola Cuevas
Hi, everyone. This is Diego. If it's okay, I can take this one. I would say that for the time being, we're not planning to issue any bonds at all. As you know, we do not have any short-term maturities. We have a very strong debt profile. But for sure, in the future, we will analyze the possibility if to issue a sustainable bond or a green bond. A good example of this is our revolving credit facility. But as you know, it's a sustainable linked loan that was recently renewed a few months ago. So again, once the time comes, we will define, which is the best way to go.

Operator

That concludes our question-and-answer session. I would now like to hand the call back over to Mr. Daniel Servitje for some closing remarks.

Daniel Javier Servitje Montull
Well, thank you very much for attending this event. It's our first ever. And I hope that -- if you have any other questions, please reach our Investor Relations group, and we'll take it from there. Thank you very much.

Operator
That concludes today's call. You may now disconnect. Have a good day.

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